

Bitcoin traders should keep in mind that volume plays an important role in evaluating price trends. High volume points to strong price trends, while low volume indicates weaker trends. Generally, rising prices coincide with increasing volume. If bitcoin prices enjoy an uptrend, but the currency's upward movements take place amid weak volume, this could mean that the trend is running out of gas and could soon be over.²⁷

Similarly, a falling price with increasingly strong volume indicates capitulation as traders are rushing for the exits, whereas a falling price on low volume is of less concern.

Remember, most cryptoassets are still in an early stage, and as such, technical charts for these assets will lack the history of longer term assets such as bitcoin. You'll find many instances of newer cryptoassets experiencing wild price swings after their creation, but over time these younger assets begin to follow the rules of technical analysis. This is a sign that these assets are maturing, and as such, are being followed by a broader group of traders. This indicates they can be more fully analyzed and evaluated using technical analysis, allowing the innovative investor to better time the market and identify buy and sell opportunities.

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Innovative investors must independently examine bitcoin and other cryptoassets, avoiding the temptation to buy or sell simply because everyone else is doing so. There's a growing wealth of information and data online on each of these assets, and if investors can't find enough data on an asset to perform the necessary analysis, that's probably a sign that it should be